

Italy's Meloni faces tight election odds

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【メール原文】

Italian Prime Minister Giorgia Meloni is the slight favorite for a second term but faces tight overall odds, hinging on electoral reform and coalition|||||||

Daily Brief

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summary

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Italian Prime Minister Giorgia Meloni is the slight favorite for a second term but faces tight overall odds, hinging on electoral reform and coalition-building.

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The AfD's Saxony-Anhalt landslide deepens a self-reinforcing dynamic that leaves German Chancellor Friedrich Merz and mainstream parties with narrowing room to maneuver.

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EG Chairman Gerald Butts argues China is best positioned to capture the geopolitical benefits of new energy technologies as two superpowers pursue radically different energy paths.

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Rising Iraqi oil exports ease Baghdad's fiscal distress, but militia disarmament failures will frustrate Gulf investment—offset by Washington's willingness to look past it given Iraq's cooperation on Iran.

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Countries and sectors in this edition of the Daily Brief include the US, Canada, China, Colombia, Ecuador, Germany, Iraq, Italy, Peru, and trade.

the top line

Italy—Meloni faces tight re-election odds

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Meloni is the slight favorite to secure a majority (a 60% probability) in a likely spring election, with a 30% probability of a center-left coalition, and an outside chance of a hung parliament (10%).

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Meloni's chances of winning a second term hinge on changing the electoral system and on integrating the new far-right National Future (FN) into her coalition; while both are likely, Meloni's overall odds are not very high given her slim lead and mixed record on the economy and foreign policy.

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The policy outlook will deteriorate marginally regardless of the outcome, resulting in more ambivalent support for Ukraine and even less scope for economic reforms.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

Germany—Merz under intense scrutiny after AfD's landslide election victory

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The far-right Alternative for Germany (AfD) will likely form a government in the state of Saxony-Anhalt after elections on 6 September failed to deliver a clear majority.

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Merz's government is not at risk in the near term, but Merz himself will come under intense scrutiny in his own party as more negative CDU results from state elections this month are looming, and a viable challenger could emerge from the more consequential state elections in North Rhine-Westphalia in April 2027.

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Germany's support for Ukraine is not at risk after the AfD's success, but German electoral trends could be a signpost that increased voter turnout no longer strengthens the political center, a development that could impact France's presidential election next year.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

EG Update—Gerald Butts on geopolitical instability and global energy transitions

EG Chairman Gerald Butts, filling in for Ian Bremmer, outlines how the 2020s geopolitical landscape will accelerate global energy transitions.

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The G-Zero Twenties are a decade of geopolitical disruption: technological innovation, geopolitical instability, and climate change are generating energy transitions at a velocity few would have predicted... reliability in the form of localism has risen to the top of policymakers' hierarchy of needs, as governments prioritize systems built around local supply.

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Political appetite for energy import growth among large importers is declining... markets will expand domestic electrification wherever possible. China is best positioned to capture geopolitical benefits from the shift to new energy technologies.

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Two superpowers pursuing radically different energy paths will contribute to a deeply contested geopolitical environment... US energy independence has become "metastatic," while China's apex predator status may prove less durable—electrons are harder to ring fence than carbon molecules.

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For more of Gerry's insights, read this week's EG Update .

Iraq—Increased oil exports will provide short-term fiscal relief

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The increase in Iraq's oil exports since June will ease Baghdad's fiscal distress and allow the government to continue paying public-sector wages in the short term.

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Meanwhile, the government will fail to meet its 30 September deadline for disarming Shia militias, allowing continued attacks on Gulf Cooperation Council countries, and frustrating Baghdad's efforts to attract investments from them.

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However, Iraq's cooperative attitude toward the US, including on tightening the economic noose around Tehran, will likely dissuade Washington from imposing major new sanctions on Baghdad for missing the disarmament deadline.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

Canada, US—Chart of the Day: Tariffs add midterm headwind for Republican incumbents

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Canada on Tuesday imposed counter-tariffs of up to 50% on \$20 billion of US goods in response to the US imposing tariffs on the same amount of goods last month. Canada's tariffs appear targeted at sectors and states that matter to Republicans.

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The tariffs are unlikely in themselves to swing the picture in the Senate toward Democrats: The vast size of the US economy means that trade with Canada is a relative drop in the bucket.

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However, Maine, Ohio, and Iowa are among the most exposed, given Republican incumbents already face tough re-election fights (see note, 4 September), and where new tariffs will be an additional headwind.

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Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net .

eg in depth

US, Colombia, Ecuador, Peru—Rubio's visit will reinforce security cooperation in the region: US Secretary of State Marco Rubio's 8 September visits to Colombia, Ecuador, and Peru—his first meetings with newly elected conservative administrations in Colombia and Peru—are likely to yield stronger cooperation, particularly on security operations, amid recently announced coordinated operations in the region. The agenda covers aid and reconstruction in Colombia following the 10 August earthquake and improving commercial ties and security cooperation, reflecting how President Donald Trump's flagship domestic policies—immigration and counter-narcotics—and geopolitical goals will keep him focused on Latin America in the aftermath of Iran and November's midterm elections. Increased US engagement may offer more opportunities for conservative administrations in Latin America to lean into the US relationship. The benefits of this ideological alignment have been clearest on the security front and can bolster the political standing of conservative administrations, potentially extending the honeymoon periods of newly elected leaders. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Upcoming events:

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8 September: Data: Chile CPI. Events: Canada's retaliatory tariffs take effect, targeting about \$20 billion of US imports. Central banks: Chile.

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9 September: Data: China PPI and CPI, France industrial production, Japan money stock, Mexico CPI, Taiwan trade. Central banks: Poland. Events: Republicans open their first-ever national midterm convention in Dallas (through 10 September), with President Donald Trump giving a keynote speech; the US Treasury begins expanded buybacks of longer-dated bonds, through 4 November.

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10 September: Data: Argentina CPI, South Africa current account, US PPI and existing home sales. Central banks: Eurozone, Peru, Turkey. Events: OPEC publishes its Monthly Oil Market Report.

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11 September: Data: Brazil CPI, Japan PPI, Russia CPI and trade, UK industrial production and trade balance, US CPI, University of Michigan consumer sentiment, and federal budget balance. Central banks: Russia. Events: The US marks the 25th anniversary of the Sept. 11, 2001 attacks; Italy and Spain credit ratings review.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

By EG Daily Brief

"My determination to continue on the path of reform is unbroken. Giving up is not an option for me."—Merz said in a press conference on 7 September.

EG Daily Brief

DailyBrief@eurasiagroup.net

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